METHODOLOGY DOCUMENT
MSCI SUSTAINABILITY AND CLIMATE

June 2026

MSCI ESG Ratings Methodology: Business Ethics Key Issue

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Contents

Introduction **3**
Business Ethics Key Issue score **4**
Key Metrics **4**
Category: Policies & practices 4
Category: Risk & Controversies 6
Corruption Risk Exposure deduction key **7**
Corporate Behavior controversy deduction key **8**
Contact us **9**

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Introduction

This document provides essential information on the components of the Business Ethics Key Issue to enable users of ESG Ratings to understand how MSCI Sustainability & Climate's (MSCI S&C's)[1] outputs are determined. Business Ethics is a Key Issue in the Governance Pillar of the MSCI ESG Ratings model. Companies are evaluated on their oversight and management of business ethics issues such as fraud, executive misconduct, corrupt practices, money laundering, or antitrust violations.

For additional details on the MSCI ESG Ratings Model, refer to the Data, ratings and scores section of "ESG Ratings Methodology."

Exhibit 1: MSCI ESG Key Issue hierarchy

3 Pillars	10 Themes	33 ESG Key Issues
Environmental	Climate Change	Carbon Emissions
		Climate Change Vulnerability
		Financing Environmental Impact
		Product Carbon Footprint
	Natural Capital	Biodiversity & Land Use
		Raw Material Sourcing
		Water Stress
	Pollution & Waste	Electronic Waste
		Packaging Material & Waste
		Toxic Emissions & Waste
	Environmental Opportunities	Opportunities in Clean Tech
		Opportunities in Green Building
		Opportunities in Renewable Energy
Social	Human Capital	Health & Safety
		Human Capital Development
		Labor Management
		Supply Chain Labor Standards
	Product Liability	Chemical Safety
		Consumer Financial Protection
		Privacy & Data Security
		Product Safety & Quality
		Responsible Investment
	Stakeholder Opposition	Community Relations
		Controversial Sourcing
	Social Opportunities	Access to Finance
		Access to Health Care
		Opportunities in Nutrition & Health
Governance	Corporate Governance	Board
		Pay

[1] MSCI Sustainability and Climate products and services are provided by MSCI Solutions LLC and certain related entities. This communication is subject to the full disclaimer set out at the end of this document.

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

3 Pillars	10 Themes	33 ESG Key Issues
		Ownership & Control
		Accounting
	Corporate Behavior	**Business Ethics**
		Tax Transparency

Business Ethics Key Issue score

The Key Issue Score is based on the aggregation of the following Key Metrics using the methodology described in the Calculating Governance Scores section of "ESG Ratings Methodology."

Each Key Metric evaluates a specific aspect of a company's governance risk profile.

Some Key Metrics are relevant only to companies with specific governance characteristics stemming from ownership type, management structure or other factors.

Key Metrics

Category: Policies & practices

Oversight of Ethics Issues Key Metric

Definition

Indicates the company's governance body (e.g., board-level committee, C-suite or executive committee, or special task force or risk officer) responsible for oversight of business ethics and corruption issues.

Typical scoring deduction: Variable, based on disclosure of management practice:

Board level committee, C-suite or executive committee: 0.0.

Special task force, or risk officer, or Corporate Social Responsibility / Sustainability team: -0.7.

No evidence: -1.4.

Bribery and Anti-corruption Policy Key Metric

Definition

Indicates if the company has a policy on bribery and anti-corruption in place and the scope of that policy.

Typical scoring deduction: Variable, based on disclosure of management practice:

Detailed formal policy on bribery and anti-corruption: 0.0.

General statements of commitment to address bribery and corruption: -0.7.

No evidence: -1.4.

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Anti-Corruption Policy for Suppliers Key Metric

Definition

Indicates the scope of the bribery and anti-corruption policy in place for suppliers.

Typical scoring deduction: Variable, based on disclosure of management practice:

All suppliers are required to have anti-corruption policies and programs to verify compliance: 0.0.

All suppliers are required to have anti-corruption policies: -0.7.

Policy covers selected suppliers: -1.0.

No evidence: -1.4.

Whistleblower Protection Key Metric

Definition

Indicates whether the company has disclosed a whistleblower policy that provides whistleblowers with protection from retaliation.

Typical scoring deduction: Variable, based on disclosure of management practice:

Policy provides whistleblowers with protection from retaliation: 0.0.

No evidence: -1.4.

Employee Training on Ethical Standards Key Metric

Definition

Indicates the scope of employee training on anti-corruption and business ethics standards.

Typical scoring deduction: Variable, based on disclosure of management practice:

Programs covering all employees (including part-time) and contractors: 0.0.

Programs covering all permanent employees (excluding part-time and contractors): -0.7.

General statements on employee training on ethical standards: -1.0.

No evidence: -1.4.

Regular Audits of Ethical Standards Key Metric

Definition

Indicates the frequency and scope of audits related to anti-corruption and business ethics.

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Typical scoring deduction: Variable, based on disclosure of management practice:

Audits of all operations at least once every three years: 0.0.

Audits of selected operations at least once every three years: -0.7.

Evidence of audits but no specific details / audits conducted but not on a regular schedule: -0.7.

No evidence: -1.4.

Anti-Money Laundering (AML) Policy Key Metric

Definition

Indicates the scope of a company's policy on anti-money laundering and know your customer.

Typical scoring deduction: Variable, based on disclosure of management practice:

Policy and implementation strategy articulated: 0.0.

Evidence of policy but no disclosure of implementation: -0.7.

Not disclosed: -1.4.

Category: Risk & Controversies[2]

Corruption Risk Exposure & Controversies Key Metric

Definition

Indicates the company's exposure to business activities or geographies facing a higher incidence of corruption and involvement in ongoing corruption-related controversies.

Typical Scoring deduction: Variable, based on percentage of operations in medium- and high-risk geographies, high-risk business segments, government ownership (percentage) and controversy type & assessment.

Range: 0 to -7.0

Refer to the Corruption Risk Exposure Deduction Key, below, for details on corruption risk exposure deduction.

Refer to the Corporate Behavior Controversy Deduction Key, below, for details on corruption-related controversy deduction.

[2] For details of the assessment of controversies, see the "MSCI ESG Controversies and Global Norms Methodology" document.

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Business Ethics Controversies Key Metric

Definition

Indicates the company's involvement in anticompetitive and business ethics controversies.

Cases related to the two Board Key Issue-related Key Metrics Securities Violations and Executive Misconduct (See the "MSCI ESG Ratings Methodology: Board Key Issue" document for details) will be taken into consideration in the assessment of the Business Ethics Controversies Key Metric.

Typical scoring deduction: Variable, based on Severity, Status (Ongoing, Partially Concluded, or Concluded), and the company's Role (Direct vs. Indirect Involvement) in the controversy.[3]

Range: 0 to -7.0

Refer to the Corporate Behavior Controversy Deduction Key, below.

Corruption Risk Exposure deduction key

Exhibit 2: Corruption Risk Exposure Deduction Key

% of operations in medium- and high-risk geographies	% of operations in high-risk business segments	≥20% government ownership	<20% government ownership	No evidence of government ownership
20% or more	50% or more	-4.00	-2.60	-2.00
	Less than 50%	-1.20	-1.20	-1.20
Less than 20%	50% or more	-0.60	-0.60	-0.60
	Less than 50%	0.00	0.00	0.00

*The Corruption Risk Exposure Deduction is based on the maximum of deductions from the Corruption Risk Exposure & Controversies Key Metric, above.

[3] The company's Role in Securities Violations and Executive Misconduct cases will be assessed as having Direct Involvement.

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Corporate Behavior controversy deduction key

The deduction considers the Severity, company Role and Status of Controversy cases. The Severity takes into consideration the Nature of Harm, Scale of Impact, and Exacerbating and Extenuating circumstances. The company Role takes into consideration the level of control the company have in preventing or mitigating harm. The Status of a case takes into consideration whether or not the company has addressed the stakeholders' concerns. Please refer to the "MSCI Controversies and Global Norms Methodology" document for further details.

Exhibit 3: Corporate Behavior Controversy Deduction Key

		Controversy Case Status		
Severity	**Company Role**	**Ongoing**	**Partially Concluded**	**Concluded**
Very Severe	Direct	-7.0	-5.6	-4.2
Very Severe	Indirect	-4.2	-4	-3.6
Severe	Direct	-3.6	-2.8	-2.4
Severe	Indirect	-2.4	-2.2	-1.8
Moderate	Direct	-1.8	-1.6	-1.2
Moderate	Indirect	-1.2	-1	-0.6
Minor	Direct	-0.6	-0.2	0.0
Minor	Indirect	0.0	0.0	0.0

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Contact us

About MSCI Inc.

MSCI (NYSE: MSCI Inc.) strengthens global markets by connecting participants across the financial ecosystem with a common language. Our research-based data, analytics and indexes, supported by advanced technology, set standards for global investors and help our clients understand risks and opportunities so they can make better decisions and unlock innovation. We serve asset managers and owners, private-market sponsors and investors, hedge funds, wealth managers, banks, insurers and corporates.

To learn more, please visit www.msci.com msci.com/contact-us

The process for submitting a formal index complaint can be found on the index regulation page of MSCI's website at: https://www.msci.com/index-regulation.

About MSCI Sustainability and Climate Products and Services

MSCI Sustainability and Climate products and services are provided by MSCI Solutions LLC and certain related entities, and are designed to provide in-depth research, ratings and analysis of environmental, social and governance related business practices to companies worldwide. ESG ratings, data and analysis from MSCI Sustainability and Climate are also used in the construction of MSCI Indexes.

AMERICA

United States	+ 1 888 588 4567 *
Canada	+ 1 416 687 6270
Brazil	+ 55 11 4040 7830
Mexico	+ 52 81 1253 4020

EUROPE, MIDDLE EAST & AFRICA

South Africa	+ 27 21 673 0103
Germany	+ 49 69 133 859 00
Switzerland	+ 41 22 817 9777
United Kingdom	+ 44 20 7618 2222
Italy	+ 39 02 5849 0415
France	+ 33 17 6769 810

ASIA PACIFIC

China	+ 86 21 61326611
Hong Kong	+ 852 2844 9333
India	+ 91 22 6784 9160
Malaysia	1800818185 *
South Korea	+ 82 70 4769 4231
Singapore	+ 65 67011177
Australia	+ 612 9033 9333
Taiwan	008 0112 7513 *
Thailand	0018 0015 6207 7181 *
Japan	+ 81 3 4579 0333

* toll-free

© 2026 MSCI Inc. All rights reserved. Please refer to the disclaimer at the end of this document.

Notice and disclaimer

The data, data feeds, databases, reports, text, graphs, charts, images, videos, recordings, models, metrics, analytics, indexes, ratings, scores, cases, estimates, assessments, software, websites, products, services and other information and materials contained herein or delivered in connection with this notice (collectively, the "Information") are copyrighted, trade secrets (when not publicly available), trademarks and proprietary property of MSCI Inc. or its subsidiaries (collectively, "MSCI"), MSCI's licensors, direct or indirect suppliers and authorized sources, and/or any third party contributing to the Information (collectively, with MSCI, the "Information Providers"). All rights in the Information are reserved by MSCI and its Information Providers and user(s) shall not, nor assist others to, challenge or assert any rights in the Information.

Unless you contact MSCI and receive its prior written permission, you must NOT use the Information, directly or indirectly, in whole or in part (i) for commercial purposes, (ii) in a manner that competes with MSCI or impacts its ability to commercialize the Information or its services, (iii) to provide a service to a third party, (iv) to permit a third party to directly or indirectly access, use or resell the Information, (v) to redistribute or resell the Information in any form, (vi) to include the Information in any materials for public dissemination such as fund factsheets, market presentations, prospectuses, and investor information documents (e.g. KIIDs or KIDs), (vii) to create or as a component of any financial products, whether listed or traded over the counter or on a private placement basis or otherwise, (viii) to create any indexes, ratings or other data products, including in derivative works combined with other indexes or data or as a policy, product or performance benchmarks for active, passive or other financial products, (ix) to populate a database, or (x) to train, use as an input to, or otherwise in connection with any artificial intelligence, machine learning, large language models or similar technologies except as licensed and expressly authorized under MSCI's AI Contracting Supplement at https://www.msci.com/legal/supplemental-terms-for-client-use-of-artificial-intelligence.

The intellectual property rights of MSCI and its Information Providers may not be misappropriated or used in a competitive manner through the use of third-party data or financial products linked to the Information, including by using an MSCI index-linked future or option in a competing third-party index to provide an exposure to the underlying MSCI index or by using an MSCI index-linked ETF to create a financial product that provides an exposure to the underlying MSCI index without obtaining a license from MSCI.

The user or recipient of the Information assumes the entire risk of any use it may make, permit or cause to be made of the Information. NONE OF THE INFORMATION PROVIDERS MAKES ANY EXPRESS OR IMPLIED WARRANTIES OR REPRESENTATIONS WITH RESPECT TO THE INFORMATION (OR THE RESULTS TO BE OBTAINED BY THE USE THEREOF), AND TO THE MAXIMUM EXTENT PERMITTED BY APPLICABLE LAW, EACH INFORMATION PROVIDER EXPRESSLY DISCLAIMS ALL IMPLIED WARRANTIES (INCLUDING ANY IMPLIED WARRANTIES OF ORIGINALITY, ACCURACY, TIMELINESS, SUITABILITY, NON-INFRINGEMENT, COMPLETENESS, MERCHANTABILITY AND FITNESS FOR A PARTICULAR PURPOSE) WITH RESPECT TO ANY OF THE INFORMATION. Without limiting any of the foregoing and to the maximum extent permitted by applicable law, in no event shall MSCI or any other Information Provider have any liability arising out of or relating to any of the Information, including for any direct, indirect, special, punitive, consequential (including lost profits) or any other damages, even if notified of the possibility of such damages. The foregoing shall not exclude or limit any liability that may not by applicable law be excluded or limited.

The Information, including index construction, ratings, historical data, or analysis, is not a prediction or guarantee of future performance, and must not be relied upon as such. Past performance is not indicative of future results. The Information may contain back tested data. Back-tested performance based on back-tested data is not actual performance but is hypothetical. There are frequently material differences between back tested performance results and actual results subsequently achieved by any investment strategy. The Information may include "Signals," defined as quantitative attributes or the product of methods or formulas that describe or are derived from calculations using historical data. Signals are inherently backward-looking because of their use of historical data, and they are inherently inaccurate, not intended to predict the future and must not be relied upon as such. The relevance, correlations and accuracy of Signals frequently change materially over time.

The Information may include data relating to indicative prices, evaluated pricing or other information based on estimates or evaluations (collectively, "Evaluations") that are not current and do not reflect real-time traded prices. No evaluation method, including those used by the Information Providers, may consistently generate evaluations or estimates that correspond to actual "traded" prices of any relevant securities or other assets. Evaluations are subject to change at any time without notice and without any duty to update or inform you, may not reflect prices at which actual transactions or collateral calls may occur or have occurred. The market price of securities, financial instruments, and other assets can be determined only if and when executed in the market. There may be no, or may not have been any, secondary trading market for the relevant securities, financial instruments or other assets. Private capital, equity, credit and other assets and their prices may be assessed infrequently, may not be priced on a secondary market, and shall not be relied upon as an explicit or implicit valuation of a particular instrument. Any reliance on fair value estimates and non-market inputs introduces potential biases and subjectivity. Internal Rate of Return metrics are not fully representative without full disclosure of fund cash flows, assumptions, and time horizons.

The Information does not constitute, and must not be relied upon as, investment advice, credit ratings, or proxy advisory or voting services. None of the Information Providers, their products or services, are fiduciaries or make any recommendation, endorsement, or approval of any investment decision or asset allocation. Likewise, the Information does not represent an offer to sell, a solicitation to buy, or an endorsement of any security, financial product, instrument, investment vehicle, or trading strategy, whether or not linked to or in any way based on any MSCI index, rating, subcomponent, or other Information (collectively, "Linked Investments").The Information should not be relied on and is not a substitute for the skill, judgment and experience of any user when making investment and other business decisions. MSCI is not responsible for any user's compliance with applicable laws and regulations. All Information is impersonal, not tailored to the needs of any person, entity or group of persons, not objectively verifiable in every respect, and may not be based on information that is important to any user.

It is not possible to invest in an index. Exposure to an asset class or trading strategy or other category represented by an index is only available through third party investable instruments (if any) based on that index. MSCI makes no assurance that any Linked Investments will accurately track index performance or provide positive investment returns. Index returns do not represent results of actual trading of investible assets/securities. MSCI maintains and calculates indexes but does not manage assets. The calculation of indexes and index returns may deviate from the stated methodology. Index returns do not reflect payment of any sales charges or fees an investor may pay to purchase securities underlying the index or Linked Investments. The imposition of these fees and charges would cause the performance of a Linked Investment to be different than the MSCI index performance.

Information provided by MSCI Solutions LLC and certain related entities ("MSCI Solutions"), including materials utilized in MSCI sustainability and climate products, have not been submitted to, nor received approval from any regulatory body. MSCI sustainability and climate offerings, research and data are produced by, and ratings are solely the opinion of MSCI Solutions. Other MSCI products and services may utilize information from MSCI Solutions, Barra LLC or other affiliates. More information can be found in the relevant methodologies on www.msci.com. MSCI Indexes are administered by MSCI Limited (UK) and MSCI Deutschland GmbH. No regulated use of any MSCI private real assets indexes in any jurisdiction is permitted without MSCI's express written authorization. The process for applying for MSCI's express written authorization can be found at: https://www.msci.com/index-regulation.

MSCI receives compensation in connection with licensing its indexes and other Information to third parties. MSCI Inc.'s revenue includes fees based on assets in Linked Investments. Information can be found in MSCI Inc.'s company filings on the Investor Relations section of msci.com. Issuers mentioned in MSCI Solutions materials or their affiliates may purchase research or other products or services from one or more MSCI affiliates, manage financial products such as mutual funds or ETFs rated by MSCI Solutions or its affiliates or are based on MSCI Indexes. Constituents of MSCI equity indexes are listed

© 2026 MSCI Inc. All rights reserved.

companies, which are included in or excluded from the indexes according to the application of the relevant index methodologies. Constituents in MSCI Inc. equity indexes may include MSCI Inc., clients of MSCI or suppliers to MSCI. MSCI Solutions has taken steps to mitigate potential conflicts of interest and safeguard the integrity and independence of its research and ratings.

MIFID2/MIFIR notice: MSCI Solutions does not distribute or act as an intermediary for financial instruments or structured deposits, nor does it deal on its own account, provide execution services for others or manage client accounts. No MSCI product or service supports, promotes or is intended to support or promote any such activity. MSCI Solutions is an independent provider of sustainability and climate data. All use of indicative prices for carbon credits must comply with any rules specified by MSCI. All transactions in carbon credits must be traded "over-the-counter" (i.e. not on a regulated market, trading venue or platform that performs a similar function to a trading venue) and result in physical delivery of the carbon credits.

You may not remove, alter, or obscure any attribution to MSCI or notices or disclaimers that apply to the Information. MSCI, Barra, RiskMetrics, and other MSCI brands and product names are the trademarks, service marks, or registered trademarks of MSCI or its subsidiaries in the United States and other jurisdictions. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P Dow Jones Indices. "Global Industry Classification Standard (GICS)" is a service mark of MSCI and S&P Dow Jones Indices. Terms such as including, includes, for example, such as and similar terms used herein are without limitation.

MSCI and its Information Providers may use automated technologies and artificial intelligence to help generate content and output incorporated in the Information.

Privacy notice: For information about how MSCI collects and uses personal data, please refer to our Privacy Notice at: https://www.msci.com/privacy-pledge. For copyright infringement claims contact us at dmca@msci.com. This notice is governed by the laws of the State of New York without regard to conflict of laws principles.

© 2026 MSCI Inc. All rights reserved.